From: Daniel Faucitt <d@rzo.io>
Sent: 29 August 2025 11:40:05
To: smunga@ensafrica.com; j faucitt <jfaucitt@proton.me>
CC: Daniel Faucitt <dan@regima.com>
Subject: Fw: The RegimA Group results and Computer Expense analysis

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From: Danie Bantjes <danie.bantjes@gmail.com>
Sent: 10 June 2025 3:33 PM
To: Daniel Faucitt <d@rzo.io>
Cc: Peter Andrew Faucitt <pete@regima.com>; Jacqui Faucitt <jax@regima.zone>; Daniel Faucitt (dan@regima.zone) <dan@regima.zone>
Subject: Re: The RegimA Group results and Computer Expense analysis

Dear Dan

Thank you for the speedy response.

Your comments and assertions will be taken under consideration in due course.

I am unfortunately away for 2 weeks, with little or no access to my communications.

In the meantime I implore everyone to try and work out a solution to the position we find ourselves in.

Kind regards,

Danie Bantjes

On Tue, 10 Jun 2025 at 11:45, Daniel Faucitt <d@rzo.io> wrote:

Hi Danie

Fundamentally the issue is that Worldwide has found itself absorbing all costs of all companies when the cards all expired in Aug 2023 2 weeks after Kayla's murder. As an emergency measure the expenses were put on the Worldwide cards which had a different expiry date. This is why RegimA Skin Treatments and Strategic have no record of their actual computer expenses. Eerything was dumped in Worldwide. The majority of these tranasactions belong in Rezonance, a technology and IT company Kayla and I spent nearly a decade building. As an IT company and service provider, the operating expenses are essentially different from a skincare distribution company, so an operating expense for the former would often be considered capital expenditure in the latter etc. As you can see from the ProfitandLoss.pdf Rezonance made its first annual profit in Feb 2023 which Kayla and I celebrated as all the hard work finally paying off. Rezonance currently owes me ZAR 1.8 million as a director from my investments over the years, you can understand why I firmly rejected Pete's insistence that I just close the company. In addition there was an ongoing murder investigation where the authorities reminded me of the familiar firearms rule that life comes before property and instructed me to freeze all activity immediately while they conducted their investigations and resolve the financial issues later. Which is exactly what I have done.

Further to the question of necessity to the business, as can be seen from the ProfitandLossReport (RWD).pdf RegimA Worldwide Distribution absorbed the operational overhead of 4 large distribution partners between 2020 and 2023. It did so with no additional staff as I single-handedly rebuilt the

entire demand side of the distribution function into the marketplace and ecommerce platforms to allow continuity of business in the wake of cascading failure of our distribution partners. The margins are structured so that each hub uses its margin to cover the costs. The recent moves to take all of the payments directly into an account which only Rynette has access to and deny me any visibility while leaving all the expenses with me are not only bizarre but will ultimately prevent us from ever being able to resolve anything while placing someone who is neither a director or employee of Worldwide Distribution in complete control without any liability. This is conerning as it makes me as a director liable for their actions without my knowledge or consent. This cannot continue.

As can be seen in the Worldwide Distribution P&L, the year-on-year turnover increase from 2M to 12M to 19M reflects the additional distribution activity it took on over the period.
The significant drop of 1M to 18M the following year was after Pete signed an affidavit to make himself the administrator on the Worldwide accounts and all my automations were unhooked. I informed Pete and Rynette prior to this not to touch it or it would break the automations but they did so anyway. I informed them after that I could no longer see the things i needed to complete the accounts and that they need to ensure they know what they are doing. Over the past year the bank contacted me on several occasions to ask for my approval where Pete and Rynette had attempted to draft mandates to change the ownership structure, have my accounts closed and cancel my cards, all without my knowledge or consent. I informed the bank these must be errors and informed both Pete and Rynette to cease this activity immediately.

As you can see in AccountTransactionsReport.pdf the correct format up to Aug 2023 shows invoices from Rezonance which group the services with itemized billing. This involves a 10% mark-up for Rezonance managed services which I use to also cover the account processing where I have a system that remunerates R50 for whoever is managing the 3rd party service for each invoice, ensuring its line items, forex rates etc are correctly filled in on quickbooks for comprehensive records. After Aug 2023 you can see all items are allocated to FNB which is the auto bank feed i have on Worldwide accounts.

The actual companies RegimA Zone and RegimA SA that operate the Shopify systems were configured to operate the distribution functions using trust accounts and RegimA SA with Pete and I as directors was doing this with Dermal (Barend) and RegimA Zone (Only me as director) was an aggregation of 3 smaller distributions. I had specifically structured it this way to prevent Pete from doing to me what he did to Kachan, simply taking the revenue for himself by instructing people to pay into another account (which is basically what has happened). The problem is that since the ownership of the companies is not the same (i.e. I am not a member of RegimA Skin Treatments and the other companies are not subsidiaries), therefore there is no fixed "group" or intercompany and moving assets from a company where I am a director to a company where I am not is essentially theft or at the very least fraudulent for tax purposes. I urge you to keep this in mind as these issues should not be dismissed as "family disputes" when there is a distinct material and legal difference between ownership of companies which should be treated as such.

I have been telling both Pete and Rynette for 4 years now that the outstanding amounts owed to Rezonance need to be paid before I am able to purchase the services and continue as normal, attached is the Rezonance Febr 2023.PDF showing over 1M outstanding owed by RegimA Skin Treatments to Rezonance. I have been telling Pete for over a year that I cannot file the accounts for Rezonance until the errors of 2024 are corrected in RegimA Skin Treatments. RST has had an account with GoDaddy since 2014 which is also an international payments account with some forex etc. For reasons I can only speculate, in 2024 Rynette made the debt to Rezonance "disappear" by misallocating international GoDaddy payments as though they were local payments made to Rezonance, yet Rezonance received no such payments (the amounts are still outstanding). I was explaining to Pete that these need to be corrected before I submit Rezonance accounts as there will

immediately be a mismatch showing Rezonance never received the payments and they will flag as fraudulent on RegimA Skin Treatments with SARS. This was just ignored and they opted instead to try and close my accounts and dissolve my company. This cannot continue.

To the best of my understanding the course we need to follow for correct accounts is:

1. Inform SARS about my freezing activity on the accounts in cooperaion with law enforcement for the murder inquiry
2. Explain that we are now in the process of updating the affected records to reconcile the past 2 years so it reflects an accurate account
3. Make the payments from RegimA Skin Treatments to Rezonance and correctly allocate the 2014 GoDaddy expenses to GoDaddy
4. Process the Invoices in the same way I had been doing up until Aug 2023 so there is a single invoice from Rezonance each month.
5. Configure the Paystack systems on Shopify to split the payments directly into Distrivbution and Manufacturer accounts.

Other than that I can't see any other way to properly remedy the situation. We cannot just try to shoehorn an entire architecture for multiple distribution operations into one account. The transactions on RegimA Skin Treatments must not be signed off as they will later show up as fraudulent. Bear in mind that Pete does not use the computer and has never seen the actual accounts for the company, nor has Jacqui and nor have I. They exist solely on Rynette's computer and nobody else is able to see them. The amounts I can see going through Strategic and RegimA Skin Treatments seem off the charts so we need an internal audit with extreme urgency to see what is going on there.

Warm Regards,
Dan

From: Danie Bantjes <danie.bantjes@gmail.com>
Sent: 10 June 2025 09:58
To: Peter Andrew Faucitt <pete@regima.com>; Jacqui Faucitt <jax@regima.zone>; Daniel Faucitt <d@rzo.io>
Subject: The RegimA Group results and Computer Expense analysis

Good morning Pete, Jacqui and Danny

It saddens me to write this email this morning, as in my 30-odd year involvement with the Faucitt family business I have never had to encounter or get involved with an internal dispute of this serious nature.

Although perhaps difficult for you as family members, I suggest we try and keep the emotions at bay and resolve this dispute regarding the spend on Computer related expenses by applying basic business principles in deciding what needs to be done to restore the profitability and ultimate survival of the business going forward. What do you think?

Just a friendly request please, not to send me any relevant information and comments privately. We all need to be working as a team to be able to ascertain the potential problem/s and focus on finding the most viable solution/s.

Danny has responded to my email of 26th May, his email attached. Danny, many thanks for the very professional and detailed analyses you have provided.

I would still like for the Excel printouts I've attached to be answered line by line please.

Your email contains a lot of information. It is a lot to digest. By doing a category analysis helps tremendously to understand the nature and purpose of all the various IT related services and platforms that are used throughout the RegimA Group.

I am neither an IT expert, nor am I an e-Commerce expert so I would not be able to comment on the necessity, use and value each expense adds to the company.

What is clear though, is that the RegimA group has over the past few years invested heavily in IT and e-commerce platforms and continues to do so. For any business to spend in excess of 20% of revenue generated on these services, the spend needs to be justified, transparent, relevant and needs to add the desired value to the business, i.e. it has to benefit the "bottom line".

Insofar as these computer expenses are concerned, I suggest we need to ask ourselves these questions to start off with:
1. Do we have the necessary invoices for each expense to be able to satisfy a SARS investigation?
2. Verify what each expense is used for on a daily basis?
3. Confirm the sales volume and value generated by each and every e-commerce platform the company is paying for.
4. Consider the relevance and necessity of all collaboration, communication, marketing, development , AI services as well as Analytics & Monitoring tools and do a cost-benefit analysis.on each and every service paid for.

The other concerning aspect is that from my high-level analysis of the state of the finances of the RegimA Group as at 28 February 2025, it is concerning to notice that the Group has, for the first time in its history, made a substantial trading loss in the past financial year.

This reflects in the bank balances as well, which saw a decline of R10m year-on-year for the Group, including Villa Via.

So, besides considering Computer Expenses, other aspects of the business like product margins, selling and distribution costs etc. needs to be looked at in depth again.

This will hopefully be the start of an in-depth discussion regarding the profitability and ultimate future viability of the business.

Kind regards,

Danie Bantjes